rockwealth

Sensible investing starts here

www.rock-wealth.co.uk

All sensible investing starts with a thorough understanding of the investor's goals, aspirations and risk profile.

To quote Adam Smith, the author of *The Money Game*, "If you don't know who you are, this (the stock market or Wall Street) is an expensive place to find out".

This is why we begin every client relationship with an extensive discussion about their goals and aspirations, their hopes and fears, and their willingness to take risk.

We then work with each client to create a long-term financial plan designed to meet their objectives. It's only after doing this, that we begin the discussion about what kind of investment is suitable for you.

Our key ethos is to construct our client portfolios based on extensive academic evidence of what drives returns in the capital markets.

Unlike many others in the financial industry, we don't follow the flavour of the month. We don't react to the day-to-day movement of stock prices. Instead, we rely on robust empirical evidence about how best to capture long-term returns.

Our approach to investing is founded upon Nobel Prize-winning academic research.

The result is a range of low-cost, evidence-based, globally diversified portfolios, which are designed to capture the capital market return over the long-term. While eliminating unnecessary costs, inefficiencies, and anxiety for our clients.

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The timeless power of diversification

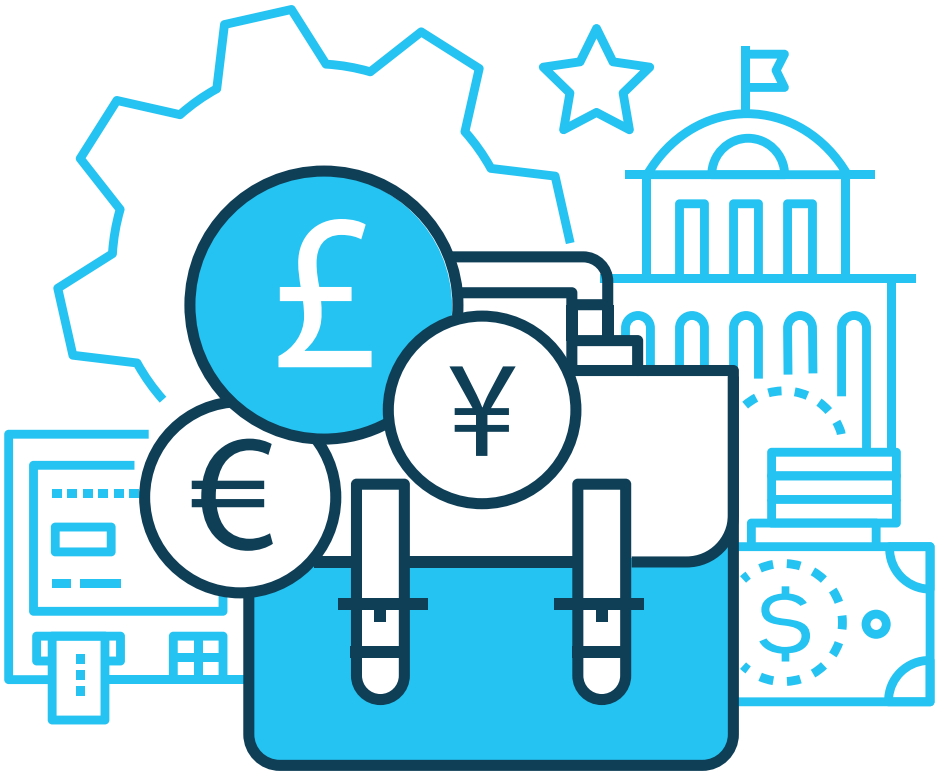
Diversification across multiple asset classes (such as bonds, equities) and across countries is a key investment philosophy for us.

We achieve this by holding different asset classes that complement one another in the portfolio; when equities zig, bonds tend to zag and this reduces volatility (ups and downs) in our portfolios, while improving returns in the longer term.

The origins of diversification within the context of investing, lie in the work of Nobel Prize winning economist Harry Markowitz. He described diversification as the only "free lunch" when seeking investment returns, but the concept has been around for hundreds of years in other domains of life.

The good old saying "don't put all your eggs in one basket" apparently has its origins in the Spanish novel Don Quixote. This was first published in 1605, and is considered one of the most influential works of literature from the Spanish Golden Age.

Diversification is as powerful today as it was in the Spanish Golden Age! It is indeed one of the few timeless investment strategies!



Our investment philosophy

Our investment process is guided by a hundred years of empirical data, decades of academic research by renowned economists and the practices of leading institutional investors.

Diversification is essential

Diversification is the principle of spreading your investment risk around. Our portfolios hold thousands of shares and bonds of many companies and governments in many countries around the world.

Costs matter

Costs reduce an investor's net return and represent a hurdle for a fund. Before a fund can outperform, it must first add enough value to cover its costs. Sadly, most professional fund managers fail to add value and high cost is a strong predictor of poor fund performance.[1]

Investor behaviour is a key determinant of their long-term outcome

All too often, investors let their emotions get the better of them with dire consequences for investment returns. As financial planners, a key part of our role is to help clients maintain a disciplined approach, especially in extreme market conditions.

Risk and return are related

There is good risk and bad risk. Higher exposure to the right risk factors or premia leads to higher expected returns but is no guarantee of them. Risk is the premium investors pay for the expectation of a greater return.

Asset allocation and portfolio structure drive portfolio return

The most important factor determining the level of risk and variability of return in a portfolio is asset allocation. [4,5,6]

The capital markets work

The prices of securities reflect the expectation of all market participants[1]. The capital markets are far from perfect[2], but they do a good job of fairly pricing all available information and investor expectations about publicly traded securities.[3]

Consistent out-performance is rare

Economic uncertainties, random market movements, and the rise and fall of individual companies mean it is extremely difficult for anyone – including professional fund managers – to beat the market in the long term. There is a significant body of research to suggest that out-performance by most fund managers is down to luck rather than skill. [7,8]

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Why global asset allocation?

Have you ever played the game, guess how many sweets in the jar? Did you just come up with a wild guess, or did you try to count as many sweets as you could see?

Either way, you probably found out that your guess was nowhere near the correct answer. Strangely, if you took the average of all the answers given by the other participants, you are far more likely to have been closer to the correct answer. This is known as the wisdom of the crowd!

Why global asset allocation?

We rely on robust academic evidence to make these kinds of decisions and our approach is to allocate portfolios broadly based on global market capitalisation. Global market capitalisation is the measure of the value of all shares held by investors globally. **As of 24th May 2021, the global stock market was valued at £95 trillion! UK stock markets account for just £3.88 trillion (or 4%) of this.**

Global market capitalisation is very useful for asset allocation purposes because it reflects the aggregate view of how investors across the world are allocating capital. Investors will allocate more to an asset class if they believe that asset class has greater expected return and vice versa. While it is impossible for us to know how each of the millions of investors across the world are allocating their capital, the global market capitalisation gives us a snapshot of the collective decision.

And this collective allocation of capital among investment professionals across the globe is far more accurate than that of each individual investor. Much like the 'guess how many sweets in the jar' game, allocating assets based on the global market capitalisation enables us to benefit from the wisdom of the crowd. It provides a more accurate result than trying to out-smart the crowd.

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Why value and small-cap allocation?

The key drivers of return are well documented in different global markets and across different time periods.

When we built our portfolios, we incorporated important findings based on the works of the Nobel Memorial Prize in Economic Sciences, winner Gene Fama and his colleague Ken French. Their research shows that, over the long term:

- **Smaller companies have higher expected returns than larger companies**
- **Value companies have higher expected returns and outperform growth companies**

A 'value stock' is a stock with a price that appears low relative to the company's financial performance, as measured by things such as the company's revenue, dividends, yield, earnings and profit margins.

This chart clearly demonstrates that over the longer term, smaller companies and value companies tend to outperform the overall stock market. This is not unique to the UK. A similar trend has been documented in the US, European and global equity markets.

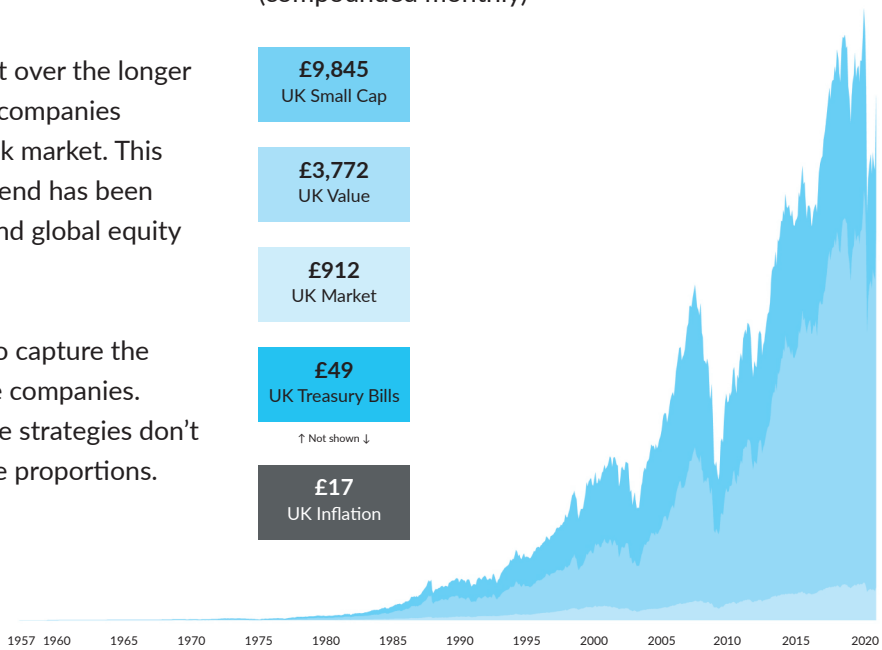
So, we built our clients' portfolios to capture the premium offered by small and value companies. Unlike conventional approaches, the strategies don't hold securities in their market-value proportions.

We increase the relative portfolio allocation to value and smaller companies with higher expected returns. It is important to note, that this in no way suggests that value and smaller companies will give excess returns every year, or that they're guaranteed.

Indeed, value and smaller companies sometimes under-perform for short periods relative to the overall market. However, academic evidence suggests that this is a price worth paying over the longer term.

Growth of a Pound, 1957 - 2020

(compounded monthly)



Rebalancing

One of the key aspects of investing is to ensure that the portfolio stays within its risk parameters and in line with its goals.

Each asset within a diversified portfolio performs differently over time, drifting away from its initial target that was set to achieve the desired risk/reward balance. This difference between the target allocation and the actual allocation to a particular asset, is known as portfolio drift.

Rebalancing is an important aspect of managing risk. It may appear counterintuitive because it involves selling assets that have performed well and buying assets that have performed less well.

This is the exact opposite of what many investors do – they pile in on assets that have performed well recently and sell those that have underperformed, unwittingly increasing risk within the portfolio.

Rebalancing requires a disciplined and structured approach. We monitor drift and carefully reset the portfolio back to its targets when drift breaches acceptable limits. It is important not to let emotions get in the way. Time-based rebalancing has historically sufficed for many investors, but this is not the most efficient method.

Rebalancing on a tolerance basis provides better returns and closer attention to risk profile. We can customise rebalancing rules at the client level. Rebalancing is essentially a process of buying low and selling high, to improve the potential risk-adjusted return.

Fund	Current Allocation	Target Allocation	Drift	Current drift from target allocation
Asset A	17 25%	16.67%	0.58%	
Asset B	17.71%	16.67%	1.04%	
Asset C	17.6%	16.66%	0.94%	
Asset D	7.24%	7.5%	-0.26%	
Asset E	22.67%	23.4%	-0.73%	
Asset F	14.06%	15.6%	-1.54%	
Asset G	3.48%	3.5%	-0.02%	

In finance as in life, there's no free lunch. Rebalancing may be the closest you get. In the long run, it tends to pay great dividends, compared to the efforts required.

Milton Friedman, American economist.

Remember, stay the course

Investing is a long-term game. And from time to time, the investment markets experience a period of decline. It is important that you stay invested during these unavoidable periods.

Historically speaking, each major market decline is invariably followed by a rebound, which exceeds the previous decline, both in terms of cumulative return and duration. It is almost as if these financial crises occur to test an investor's patience.

The chart on page 10/11 shows the performance of the global stock market between 1926 and 2020. A bull market denotes an ascending returns period stemming from the lowest close after the market has fallen 20% or more, to the next market high. A bear market on the other hand represents the opposite, beginning at a high close and descending by 20%.

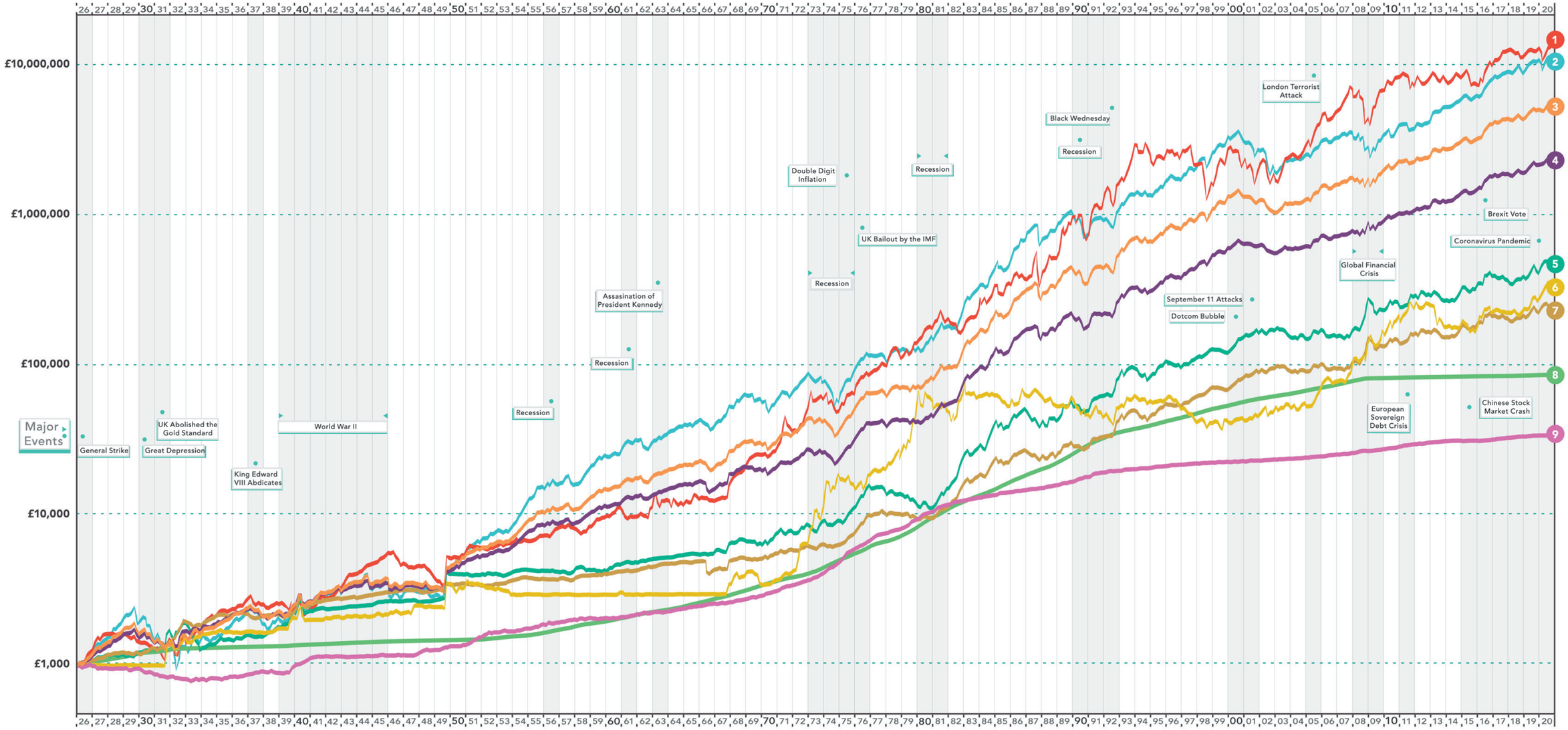
The global equity index has witnessed a decline of 20% or more on seven occasions during this period. Equally of note, was the scale of peak-to-trough movements, which on average exhibited a decline of 35% and took 1 year and 6 months to recover.

Historically speaking, each major market decline is invariably followed by a rebound, which exceeds the previous decline, both in terms of cumulative return and duration.

While historic data is not a predictor of future return, it offers valuable insights into the cyclical nature of markets. Markets will inevitably experience declines but it is important not to panic and exit the market when these crises arise. By taking such action, the potential gains stemming from the following bull markets will be squandered.

We acknowledge that this can be hard as an individual's complete financial security is on the line and when this is combined with hysteria-inducing warnings from the financial press, investors tend to act irrationally. However, we stress the importance of not letting fear take control and advocate that clients take consolation in the fact that patience and calmness will ultimately deliver reward.

Growth of Wealth



1	2	3	4	5	6	7	8	9
Emerging Markets	Global Equtites	Global Growth Portolio	Balanced Portfolio	UK Property	Gold	Global Aggregate Bonds	Cash	Inflation
£14.1M	£11.9M	£5.5M	£2.3M	£467.9K	£310.2K	£240.6K	£85.5K	£34K
Annualised Return - 13%	Annualised Return - 12%	Annualised Return - 10%	Annualised Return - 9%	Annualised Return - 7%	Annualised Return - 8%	Annualised Return - 6%	Annualised Return - 5%	Annualised - 4%
Volatility - 23%	Volatility - 18%	Volatility - 13%	Volatility - 12%	Volatility - 10%	Volatility - 20%	Volatility - 11%	Volatility - 4%	Volatility - 5%

Global Balanced Portfolio is made up of 50% Global Equities and 50% Global Bonds. Global Growth Portfolio is made up of 60% Global Equities, 10% Emerging Markets and 30% Global Bonds.

This chart is for illustrative purposes only: it does not constitute investment advice and must not be relied on as such. The value of investments and the income from them can go down as well as up so you may get back less than you invest. Past performance is not a guide to what might happen in the future. Transaction costs, taxes and inflation reduce investment returns. This chart shows the inferred growth of money invested on January 1st, 1926. The Return of each asset class is the average of calendar returns and the volatility of each asset class is the standard deviation of the calendar returns. Major political and financial events are indicated by* and The portfolios are hypothetical and are rebalanced annually on the 1st of January. All investment Income is assumed to be reinvested, unless otherwise stated. No transaction costs or taxes are included. Sources: Global Equities: GFDatabase Developed World Return Index, Emerging Markets Equities: GFDatabase Emerging Markets Return Index, UK T Bills: GFDatabase United Kingdom Total Return Bills Index, Global Bonds: GFDatabase World Government Bond GDP-weighted Return Index, Gold: Gold Spot Price-London PM Fixing, UK Property: United Kingdom Nationwide House Price Index, UK Inflation: Headline Consumer Price Index via Bank of England 3 Centuries of Macroeconomic Data and the ONS.

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rockwealth

Contact us:

Cheltenham (Head office)

rockwealth
3 Imperial Square
Cheltenham
Gloucestershire
GL50 1QB

T: 01242 505505
E: info@rock-wealth.co.uk

Aberdeen

rockwealth
Neo House
Riverside Drive
Aberdeen
AB11 7LH

T: 01224 021766
E: aberdeen@rockwealth.co.uk

Brighton

rockwealth
1 Mocatta House
Trafalgar Place
Brighton
BN1 4DU

T: 01273 699267
E: brighton@rockwealth.co.uk

Cardiff

rockwealth
Brunel House
2 Fitzalan Road
Cardiff
CF24 0EB

T: 02921 051410
E: cardiff@rockwealth.co.uk

Cheshire

rockwealth
Booths Park
Chelford Road
Knutsford
Cheshire
WA16 8GS

T: 01565 383007
E: cheshire@rockwealth.co.uk

Leamington

rockwealth
11 Dormer Place
Leamington Spa
CV32 5AA

T: 01926 969010
E: leamington@rockwealth.co.uk

Leeds

rockwealth
One Park Row
Leeds
LS1 5HN

T: 0113 5266022
E: leeds@rockwealth.co.uk

Norwich

rockwealth
St Georges Works
51 Colegate
Norwich
NR3 1DD

T: 01603 542080
E: norwich@rockwealth.co.uk

www.rock-wealth.co.uk

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